Tesla, Inc. (TSLA)

Investor Day numbers don't reconcile with the 10-Q; Underweight

Rating	**Underweight**
Price target (12-18 month)	**$190**
Price (April 26, 2026 close)	**$261.52**
Implied return	**(27%)**
Market cap	**$837 billion**
Analyst	**Omar Haddad, CFA**

Key points

• Q1 2026 revenue of $18.8 billion (6% y/y) versus consensus $18.5 billion; non-GAAP EPS $0.45 versus $0.44 consensus.

• Investor Day's 'adjusted EBITDA' of $11.9 billion for 2025 adds back $1.9 billion of SBC and $0.8bn of restructuring on top of D&A; GAAP income from operations in 2025 was $4.6 billion, less than half that figure.

• The 'annualized energy storage run-rate' is Q4 x 4; Q1 deployments were seasonally lower.

• Automotive deliveries fell 9% y/y in Q1 2026 with ASPs down; we see no near-term catalyst in the vehicle business.

Our view

Our concerns about Tesla crystallised this quarter. Automotive deliveries declined 9% year over year; energy storage deployments reached a record 14.2 GWh. We think consensus estimates for the next fiscal year are too high.

Management's commentary struck a balanced tone. We adjust our estimates modestly: see the table below. Our rating is relative to our Autos & Mobility coverage and our price target horizon is 12-18 month.

We encourage investors to reconcile the Investor Day presentation against the filed numbers: the presentation uses non-GAAP metrics and annualized run-rates that are not comparable with the 10-Q, and the 2030 targets are not guidance.

Estimates

	2025A	2026E	2027E
Total revenues ($bn)	76.5	81.5	87.6
EPS (non-GAAP)	$1.84	$1.98	$2.16
P/E at current price	142.0x	132.3x	120.9x
Dividend per share	$0.00	$0.00	$0.00

EPS in this table is on a non-GAAP basis. Fiscal years are the company's.

Valuation

Our $190 price target is based on 91x our 2027 EPS estimate, a premium to the stock's three-year average multiple, cross-checked with a DCF (WACC 8.3%, terminal growth 3.4%).

Risks to our view

• Robotaxi commercialisation ahead of our timeline (upside risk)

• Energy storage demand accelerates

• Vehicle price stabilisation

Important disclosures

Analyst certification: I, Omar Haddad, certify that the views expressed in this report accurately reflect my personal views about the subject securities and that no part of my compensation was, is or will be directly or indirectly related to the specific recommendations or views in this report. Rating definitions: Westbrook Securities uses a 3-point scale: Overweight, Equal-weight, Underweight. Ratings reflect expected total return relative to the analyst's coverage universe over a 12-18 month horizon. Westbrook Securities ratings are not directly comparable with those of other firms.

Rating category	Count	% of coverage	% investment banking clients
Overweight	26	25%	20%
Equal-weight	39	38%	30%
Underweight	38	37%	40%

Westbrook Securities and/or its affiliates may have received compensation for investment banking services from the subject company in the past twelve months and may seek such compensation in the next three months. This report is for institutional clients only and may not be redistributed without written consent. © 2026 Westbrook Securities, Boston.